Module 11
Financial Reporting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

In accordance with HKFRS 3 *Business Combinations*, the consideration transferred should be measured at fair value.

Contingent consideration usually refers to an obligation of the acquirer to transfer additional assets or equity interests to the former owners of an acquiree as part of the exchange for control of the acquiree if specified future events occur or conditions are met. In this case, the Potential Payment should the number of visitors to Joy Park increased by 10% in the first year subsequent to the Acquisition is considered a contingent consideration.

The total consideration for the Acquisition was:

	HK$ million
Cash consideration	16,610
Contingent consideration	1,100
Total consideration	17,710

HKFRS 3 provides that, during the measurement period (which should not exceed one year from the acquisition date), the acquirer adjusts retrospectively any provisional amounts recognised at the acquisition date to reflect new information about facts and circumstances that existed as of the acquisition date and, if known, would have affected the measurement of the amounts recognised as of that date.

Yet, whether the condition for the contingent consideration is met or not (in this case, whether the number of visitors increased by 10%) does not qualify as a measurement period adjustment as meeting the target is not a piece of information about facts and circumstances that existed as of the acquisition date. No retrospective adjustment to the total consideration would therefore be necessary in the subsequent periods, even if such a condition has been met in this case.

There was, however, another issue arising from the Potential Payment. Xylobium must determine whether it should account for changes in the fair value of contingent consideration after the acquisition date, which depends on whether the contingent consideration is classified as equity, as an asset, or as a liability. This decision would in turn be based on the definitions of a financial liability and an equity instrument in accordance with HKAS 32 *Financial Instruments: Presentation*.

Contingent consideration classified as equity is not remeasured and its subsequent settlement is accounted for within equity, while contingent consideration classified as a liability is subsequently measured to fair value at each reporting date until the contingency is settled, with changes in fair value recognised in profit or loss.

The Potential Payment should be classified as a financial liability as it refers to a contractual obligation to deliver cash to another entity (i.e. the ex-shareholders in this case). The fair value of the Potential Payment would be subsequently remeasured, as the condition for such payment was met during the year ended 31 December 2023:

		HK$ million	HK$ million
Dr.	Loss on fair value change in financial liability (P/L)	800	
Cr.	Contingent consideration payable *(HK$1,900 million – HK$1,100 million)*		800

(To account for the fair value change of the contingent consideration payable)

Answer 1(b)

Goodwill as at 31 December 2023
= HK$2,922 million (W2)

Note:
Goodwill attributable to Xylobium
= HK$17,710 million – (HK$19,210 million (W1) x 80%)
= HK$2,342 million

Goodwill attributable to non-controlling interest
= HK$4,422 million – (HK$19,210 million (W1) x 20%)
= HK$580 million

Deferred tax liability as at 31 December 2023
= (HK$320 million) (CJ1) + HK$12 million (CJ3A)
= (HK$308 million)

Note:
Deferred tax assets and deferred tax liabilities can be offset if the entity has the legal right to settle current tax amounts on a net basis and the deferred tax amounts are levied by the same taxing authority on the same entity or different entities that intend to realise the asset and settle the liability at the same time.

Non-controlling interest as at 31 December 2023
= HK$4,422 million (CJ1) – HK$15 million (CJ2B) + HK$2.4 million (CJ3B) + HK$648 million (CJ4) – HK$250 million (CJ5)
= HK$4,807.4 million

CJ1: Pre-acquisition elimination entries	HK$ million	HK$ million
Dr. Share capital	7,000	
Dr. Retained earnings	10,530	
Dr. Intangible assets – Brand	2,000	
Dr. Goodwill (W2)	2,922	
Cr. Deferred tax liability *(HK$2,000 million x 16%)*		320
Cr. Investment *(see Answer 1(a))*		17,710
Cr. Non-controlling interest (B/S)		4,422

(W1): Fair value of net identifiable assets	HK$ million
Share capital	7,000
Retained earnings	10,530
Fair value adjustment – Brand	2,000
Fair value adjustment – Deferred tax liability arising from the Brand	(320)
Fair value of net identifiable assets	19,210

(W2): Goodwill	HK$ million
Consideration *(see Answer 1(a))*	17,710
Non-controlling interest at fair value	4,422
	22,132
Less: Fair value of net identifiable assets (W1)	(19,210)
Goodwill	2,922

CJ2A: Elimination of unrealised profits arising from the upstream sale of inventories	HK$ million	HK$ million
Dr. Sales	600	
Cr. Cost of goods sold		600
Dr. Cost of goods sold	75	
Cr. Inventories (W3)		75
(W3): Unrealised profits at year end		HK$ million
Transfer price		600
Less: Cost to Yucca		
(HK$600 million ÷ 120%)		(500)
Unrealised profits upon transfer		100
Unsold portion		75%
Unrealised profits at year end		75
CJ2B: Share to non-controlling interest	HK$ million	HK$ million
Dr. Non-controlling interest (B/S)	15	
(HK$75 million (W3) x 20%)		
Cr. Non-controlling interest (P/L)		15

CJ3A: Deferred tax impact arising from the upstream sale of inventories	HK$ million	HK$ million
Dr. Deferred tax asset	12	
(HK$75 million (W3) x 16%)		
Cr. Tax expense		12
CJ3B: Share to non-controlling interest	HK$ million	HK$ million
Dr. Non-controlling interest (P/L)	2.4	
Cr. Non-controlling interest (B/S)		
(HK$12 million (CJ3A) x 20%)		2.4

CJ4: Share of profits to non-controlling interest	HK$ million	HK$ million
Dr. Non-controlling interest (P/L)	648	
Cr. Non-controlling interest (B/S)		648
(HK$3,240 million x 20%)		

CJ5: Elimination of dividends	HK$ million	HK$ million
Dr. Dividend income	1,000	
(HK$1,250 million x 80%)		
Dr. Non-controlling interest (B/S)	250	
(HK$1,250 million x 20%)		
Cr. Retained earnings – dividends declared		1,250

Answer 2(a)

HKAS 23 *Borrowing Costs* defines a qualifying asset as an asset that necessarily takes a substantial period of time to get ready for its intended use. The Ride qualified as a qualifying asset as it would take five years to complete.

The core principle of HKAS 23 is that borrowing costs are capitalised if they are directly attributable to the acquisition, construction, or production of a qualifying asset and all the other borrowing costs are recognised as an expense in the period in which they are incurred.

The Bonds were classified as general borrowings in HKAS 23. HKAS 23 requires the application of a capitalisation rate to the expenditure on that qualifying asset in determining the amount of borrowing costs eligible for capitalisation. Further, an entity begins capitalising borrowing costs on the commencement date, which is the date when the entity first meets all of the following conditions:

- It incurs expenditures for the asset;
- It incurs borrowing costs; and
- It undertakes activities that are necessary to prepare the asset for its intended use.

In Yucca's case, though the first and last conditions above were met in January 2024, it started incurring borrowing costs only on 1 April 2024. Yucca began capitalising borrowing costs only after it obtained the general borrowings. The eligible capitalisation period, in preparing its interim financial statements, therefore covered from 1 April 2024 to 30 June 2024.

As Yucca did not have other borrowings, the capitalisation rate would be 5%. Yucca did not disregard expenditures on the Ride incurred before it obtained the general borrowings. The capitalisation rate (5%) would therefore be applied to the expenditure of the Ride incurred even before 1 April 2024 (HK$56 million) to obtain the capitalised amount:

	HK$ million
HK$20 million x 5% x 3/12	0.25
HK$36 million x 5% x 3/12	0.45
HK$100 million x 5% x 0/12	-
	0.7

During the six months ended 30 June 2024, Yucca incurred borrowing costs of HK$18.75 million (HK$1,500 million x 5% x 3/12). Yucca should capitalise HK$0.7 million of the borrowing costs to the carrying amount of the Ride. The remaining HK$18.05 million (HK$18.75 million – HK$0.7 million) should be expensed in profit or loss (assuming that Yucca does not have other qualifying assets).

Answer 2(b)

Yucca should apply the five-step model in HKFRS 15 *Revenue from Contracts with Customers* to account for the lump sum amount received from Zenobia. There has been an exchange transaction, as the amount received is, in substance, for advertising services provided by Yucca. HKFRS 15 states that a customer is a party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration. Zenobia is a customer of Yucca, as Yucca has a history of providing publicity for corporate partners in order to receive the lump sum amount. The following steps help analyse the accounting treatments of the amount received from Zenobia:

Step 1: Identify the contract

A contract under the scope of HKFRS 15 existed as:

- Both Yucca and Zenobia approved the contract in writing and committed to perform their respective obligations;
- Each party's rights could be identified. Yucca provides publicity for Zenobia in return for the lump sum amount;
- The payment terms for the promotional services could be identified (i.e. the up-front lump sum payment);
- The contract has commercial substance as Yucca's cash flows would be expected to change as a result of the contract;
- It is probable that Yucca would collect the consideration, as the payment has been paid up-front.

Step 2: Identify the performance obligation(s)

The only performance obligation of Yucca would be to display Zenobia's name at the facility for six years.

Step 3: Determine the transaction price

The transaction price would be the lump sum amount paid by Zenobia up-front. Yucca may need to consider whether there would be a significant financing component in the contract, given the amount was received in advance for more than one year.

Step 4: Allocate the transaction price to performance obligation(s)

As there is only one performance obligation in this case, no allocation is needed.

Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation

The performance obligation would be satisfied over time, as Zenobia simultaneously receives and consumes the benefits provided by Yucca's performance. Yucca therefore would recognise revenue over time by selecting an appropriate method for measuring the entity's progress towards complete satisfaction of the performance obligation (i.e. output methods and input methods). In this case, it would be appropriate to recognise the revenue by applying the output method (i.e. a time-lapsed measure by recognising revenue evenly over the six years).

Contract liabilities represent obligations to transfer goods or services to a customer for which the entity has received consideration. The cash received in advance by Yucca would therefore be initially accounted for as contract liabilities on Yucca's statement of financial position. Such balance would decrease while Yucca recognises its revenue over time.

Answer 3

REPORT

1. Background

Yucca is going to build its hotel adjacent to the theme park complex (the "Hotel"). This report clarifies, with reference to HKAS 40 *Investment Property*, how the Hotel should be classified and the practical measurement issues during its construction period.

2. Classification of the Hotel

HKAS 40 defines investment properties as properties held to earn rentals or for capital appreciation or both, and defines owner-occupied properties as properties held for use in the production or supply of goods or services or for administrative purposes. Entities therefore classify properties based on their use.

Complexity, however, arises if the owner provides ancillary services to the user of the investment property. The classification of the property depends on whether the services provided are an insignificant component of the arrangement as a whole. If the services are insignificant, then it will not preclude the property from being an investment property. If a property is operated by a third party under a management contract, the key issue is to assess the nature of the owner's interest in the property and the extent to which the owner retains significant exposure to the risks of running a business.

In Yucca's case, the significant operating and financing decisions will be made by the hotel operator. Further, the payments under the lease are not significantly determined by the results of the hotel operator; rather, they reflect the general market for such property. Yucca will not be significantly exposed to the operation of the hotel business and will act as a passive investor. As Yucca is in substance earning rentals, the Hotel, upon completion, meets the definition of investment property and will be classified as an investment property. HKAS 40 further provides that property that is being constructed or developed for future use as investment property is classified as an investment property. The Hotel under construction is classified as investment property.

3. <u>Measurement of the Hotel</u>

Yucca measures its investment properties using the fair value model. In such case, given that the Hotel is classified as an investment property, Yucca should measure the Hotel at its fair value at the end of the reporting period and a gain or loss arising from changes in the fair value in the period is recognised in profit or loss for that period.

HKAS 40 provides a rebuttable presumption that an entity can reliably measure the fair value of an investment property on a continuing basis (the "Presumption").

If an entity measures its completed investment property at fair value, it should also measure its investment property under construction at fair value as well. It is however acknowledged the determining the fair value of an investment property under construction is more judgemental than for a completed property.

HKAS 40 includes special measurement provisions for investment property under construction. When an entity determines that the fair value of an investment property under construction is not reliably measurable but it expects the fair value to be reliably measurable when construction is completed (i.e. the Presumption is not rebutted), HKAS 40 allows such investment property under construction to be measured at cost until such time as the fair value becomes reliably measurable or construction is completed, whichever comes earlier.

Yucca can therefore apply the above principles to measure the Hotel under construction. Once Yucca becomes able to measure reliably the fair value of the Hotel under construction that has previously been measured at cost, it should measure the Hotel at its fair value. Once construction of the Hotel is complete, it is presumed that the fair value can be measured reliably.

The presumption that the fair value of investment property under construction can be measured reliably can be rebutted only on initial recognition. Further, if Yucca has measured the Hotel under construction at fair value, it may not subsequently conclude that the fair value of the completed Hotel cannot be measured reliably.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 4(a)

An associate is an entity over which the investor has significant influence. [HKAS 28.3]

Significant influence is the power to participate in the financial and operating policy decisions of the investee, but it is not control or joint control of those policies. [HKAS 28.3]

If an entity holds, directly or indirectly (e.g. through subsidiaries), 20% or more of the voting power of the investee, it is presumed that the entity has significant influence, unless it can be clearly demonstrated that this is not the case. Conversely, if the entity holds, directly or indirectly (e.g. through subsidiaries), less than 20% of the voting power of the investee, it is presumed that the entity does not have significant influence, unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an entity from having significant influence. [HKAS 28.5]

The existence of significant influence by an entity is usually evidenced in one or more of the following ways:

(a) representation on the board of directors or equivalent governing body of the investee;

(b) participation in policy-making processes, including participation in decisions about dividends or other distributions;

(c) materials transactions between the entity and its investee;

(d) interchange of managerial personnel; or

(e) provision of essential technical information. [HKAS 28.6]

The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether an entity has significant influence. [HKAS 28.7]

An entity with joint control of, or significant influence over, an investee shall account for its investment in an associate or a joint venture using the equity method except when that investment qualifies for exemption in accordance with paragraphs 17–19. [HKAS 28.16]

An entity need not apply the equity method to its investment in an associate or a joint venture if the entity is a parent that is exempt from preparing consolidated financial statements by the scope exception in paragraph 4(a) of HKFRS 10 or if all the following apply:

(a) The entity is a wholly-owned subsidiary, or is a partially-owned subsidiary of another entity and its other owners, including those not otherwise entitled to vote, have been informed about, and do not object to, the entity not applying the equity method.

(b) The entity's debt or equity instruments are not traded in a public market (i.e. a domestic or foreign stock exchange or an over-the-counter market, including local and regional markets).

(c) The entity did not file, nor is it in the process of filing, its financial statements with a securities commission or other regulatory organisation, for the purpose of issuing any class of instruments in a public market.

(d) The ultimate or any intermediate parent of the entity produces financial statements available for public use that comply with HKFRSs, in which subsidiaries are consolidated or are measured at fair value through profit or loss in accordance with HKFRS 10.

[HKAS 28.17]

By virtue of HKAS 28 para. 5, a substantial or majority ownership by others like RLL does not necessarily preclude CTL from having significant influence.

CTL holds less than 20 per cent of the voting power of FDL. According to HKAS 28 para. 5, it is presumed that CTL does not have significant influence, unless such influence can be clearly demonstrated.

Based on the facts presented, it appears that CTL could exercise significant influence over FDL.

This is because CTL must have a representative as one of the board directors to participate in policymaking and must be present before any board meetings can be convened. In addition, there are material transactions between CTL and FDL when (OR) 70% of FDL's delivery and warehousing needs are handled by CTL. CTL also provides technical expertise to FDL in its daily operations. [HKAS 28.6]

The option to purchase the shares in FDL is irrelevant in the analysis because it is not currently exercisable.

When an entity has significant influence over an investment, it should account for the investment using equity method unless it is being exempted.

CTL is a listed company and, hence, the exemption from applying the equity method under HKAS 28 para. 17 does not apply. It is also not a venture capitalist, so the exemption under HKAS 28 para. 18 would not be applicable.

Therefore, I disagree with Tim.

Though CTL holds less than 20% in FDL, it appears that it has significant influence over FDL, and, since it is not being exempted, the investment in FDL should apply equity accounting in CTL's consolidated financial statements.

Answer 4(b)

An entity shall discontinue the use of the equity method from the date when its investment ceases to be an associate or a joint venture as follows:

If the retained interest in the former associate or joint venture is a financial asset, the entity shall measure the retained interest at fair value. The fair value of the retained interest shall be regarded as its fair value on initial recognition as a financial asset in accordance with HKFRS 9. The entity shall recognise in profit or loss any difference between:

(i) the fair value of any retained interest and any proceeds from disposing of a part interest in the associate or joint venture; and

(ii) the carrying amount of the investment at the date the equity method was discontinued.

[HKAS 28.22]

Under HKFRS 9 *Financial Instruments*, a financial asset shall be measured at fair value through profit or loss unless it is measured at amortised cost in accordance with paragraph 4.1.2 or at fair value through other comprehensive income in accordance with paragraph 4.1.2A. However, an entity may make an irrevocable election at initial recognition for particular investments in equity instruments that would otherwise be measured at fair value through profit or loss to present subsequent changes in fair value in other comprehensive income (see paragraphs 5.7.5–5.7.6).

At initial recognition, an entity may make an irrevocable election to present in other comprehensive income subsequent changes in the fair value of an investment in an equity instrument within the scope of HKFRS 9 that is neither held for trading nor contingent consideration recognised by an acquirer in a business combination to which HKFRS 3 applies. [HKFRS 9 para. 5.7.5]

CTL shall recognise in profit or loss any difference between:

(i) the fair value of any retained interest and any proceeds from disposing of the 30% in BKL; and

(ii) the carrying amount of the investment at the date the equity method was discontinued.

Upon initial recognition of the 10% investment, CTL also needs to make a decision as to what the investment should be classified as following HKFRS 9.

As it is an equity investment, it would not satisfy the solely payments of principal and interest ("SPPI") test under HKFRS 9. Amortised cost does not apply.

There is also no mention in the case about whether it is part of contingent consideration arising out of business combination under HKFRS 3.

As the investment is to be held for strategic business reason, it is possible that CTL could make an irrevocable election to present in other comprehensive income subsequent changes in the fair value of an investment (i.e. classify the investment as fair value through OCI).
[HKFRS 9 para. 5.7.5]

Answer 4(c)

An intangible asset is an identifiable non-monetary asset without physical substance. [HKAS 38 para. 8]

Some intangible assets may be contained in or on a physical substance such as a compact disc (in the case of computer software), legal documentation (in the case of a licence or patent), or film. In determining whether an asset that incorporates both intangible and tangible elements should be treated under HKAS 16 *Property, Plant and Equipment* or as an intangible asset under HKAS 38 *Intangible Assets*, an entity uses judgement to assess which element is more significant. For example, computer software for a computer-controlled machine tool that cannot operate without that specific software is an integral part of the related hardware and it is treated as property, plant, and equipment. The same applies to the operating system of a computer. When the software is not an integral part of the related hardware, the computer software is treated as an intangible asset. [HKAS 38 para. 4]

After initial recognition, an intangible asset shall be carried at its cost less any accumulated amortisation and any accumulated impairment losses. [HKAS 38 para. 74]

The accounting software bought by FDL is an off-the-shelf product that is not critical to the operation of the computers. Therefore, it is not an integral part of FDL's computers.

The fact that the company would not have purchased the new computers were it not for the new accounting software is irrelevant in determining whether the software is integral to the operation of the machines.

Based on HKAS 38 para. 4, the software should be treated as an intangible asset.

The software will be stated at cost less any accumulated amortisation and any accumulated impairment losses.

The asset will be amortised over 2 or 3 years depending on management’s assessment of useful life of the software.

Answer 5(a)

Events after the reporting period are those events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue.

Two types of events can be identified:

(a) those that provide evidence of conditions that existed at the end of the reporting period (i.e. adjusting events after the reporting period); and

(b) those that are indicative of conditions that arose after the reporting period (i.e. non-adjusting events after the reporting period).

[HKAS 10 para. 3]

If non-adjusting events after the reporting period are material, non-disclosure could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity. Accordingly, an entity shall disclose the following for each material category of non-adjusting event after the reporting period:

(a) the nature of the event; and

(b) an estimate of its financial effect, or a statement that such an estimate cannot be made.

[HKAS 10 para. 21]

As the scheme was introduced after 31 March 2023 and it is not compensation for past services, it is a non-adjusting event after the reporting period.

Therefore, there would not be any accounting entries in respect of the scheme in HDL's consolidated financial statements.

However, if the scheme is material, then HDL would need to disclose the event and an estimate of its financial effect. It is unlikely that a reasonable estimate cannot be made.

<u>Answer 5(b)</u>

Under HKFRS 2 *Share-based Payments* Appendix A, a "share-based payment arrangement" is an agreement between the entity (or another group entity or any shareholder of any group entity) and another party (including an employee) that entitles the other party to receive:

(a) cash or other assets of the entity for amounts that are based on the price (or value) of equity instruments (including shares or share options) of the entity or another group entity; or

(b) equity instruments (including shares or share options) of the entity or another group entity, provided the specified vesting conditions, if any, are met.

A "share-based payment transaction" is a transaction in which the entity:

(a) receives goods or services from the supplier of those goods or services (including an employee) in a share-based payment arrangement; or

(b) incurs an obligation to settle the transaction with the supplier in a share-based payment arrangement when another group entity receives those goods or services.

A share-based payment transaction may be settled by another group entity (or a shareholder of any group entity) on behalf of the entity receiving or acquiring the goods or services. Paragraph 2 also applies to an entity that:

(a) receives goods or services when another entity in the same group (or a shareholder of any group entity) has the obligation to settle the share-based payment transaction; or

(b) has an obligation to settle a share-based payment transaction when another entity in the same group receives the goods or services unless the transaction is clearly for a purpose other than payment for goods or services supplied to the entity receiving them.

[HKFRS 2 para. 3A]

Based on HKFRS 2 para. 43D, existence (and non-existence) of a recharge arrangement between the settling entity and the receiving entity does not change the character of the share-based payment transaction, and therefore would not affect the classification of the share-based payment transaction as equity-settled or cash-settled.

This is a group share-based payment transaction which is within the scope of HKFRS 2 Share-based payment.

(i) Financial statements of HLL

HLL is the "receiving entity" (i.e. the entity receiving the services from the employees). HKFRS 2 para. 43B requires an entity that receives the services measure the transaction as an equity-settled share-based payment transaction when:

- the awards granted are the entity's own equity instruments; or

- the entity has no obligation to settle the share-based payment transaction.

In all other circumstances, the entity that receives the services measures the transaction as a cash-settled share-based payment. [HKFRS 2 para. 43B]

HLL should classify the transaction as an equity-settled share-based payment because:

- the transaction does not involve issuing HLL's own equity instruments; and

- HLL has no obligation to settle this share-based payment.

As this transaction is classified as an equity-settled share-based payment, HLL needed to record this transaction upon vesting through the following pair of journal entries:

Dr. Remuneration expense
Cr. Equity contribution from parent

(ii) Separate financial statements of HDL

HDL is the "settling entity" (i.e. the entity settling the share-based payment transaction).

HKFRS 2 requires an entity settling a share-based payment transaction when another entity receives the services to measure the transaction as an equity-settled share-based payment if it is settled in the entity's own equity instruments. Otherwise, the entity measures the transaction as a cash-settled share-based payment. [HKFRS 2 para. 43C]

As HDL is settling in its own shares, it should be classified as an equity-settled share-based payment in its separate financial statements.

HDL needed to record this transaction upon vesting through the following pair of journal entries:

Dr. Investment in HLL
Cr. Equity

(iii) Consolidated financial statements of HDL Group

From the HDL Group's perspective, it is obliged to transfer shares in HDL, the parent of the Group, upon vesting.

In the consolidated financial statements of the HDL Group, it should then be classified as an equity-settled share-based payment.

The HDL Group need to recognise, upon vesting, the expense for the services received with a corresponding entry in equity.

Based on the above analysis, HDL needs to prepare the following consolidation adjustment entries when preparing for its consolidated financial statements:

Dr. Equity contribution from parent
Cr. Investment in HLL

Answer 5(c)

Maggie should comply with the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour as set out in 110.1 A1 of the Code of Ethics for Professional Accountants (the Code).

Maggie's objectivity could be compromised if she allows Steve's threats to influence her decision to restate the financial statements of the previous year.

If Maggie is eligible for share-based payments, there could be a conflict of interest which could potentially impact her judgement.

If Maggie knowingly allows the misstatement to remain in the financial statements, then her integrity is questionable.

Maggie also needs to perform her role with due care to prepare financial statements that give a true and fair view professionally and correct any material misstatements before they are put forth for authorisation.

Threats that Maggie needs to face when she complies with the Code include the following:

- a self-interest threat may be created, as Maggie is within the scope of the group's share-based payment scheme; and

- Maggie could also be facing an intimidation threat if Steve is aggressive and exercises dominance over her judgement and decisions.

Maggie may disclose the matter in line with the Company's policies, including ethics and whistleblowing policies, using any established mechanism. If the Company has not taken appropriate action, Maggie may consult with another appropriate professional accountant, relevant professional body, or legal counsel. (270.3 A4 of the Code).

In extreme situations where all available safeguards have been exhausted and it is not possible to reduce the threat to an acceptable level, Maggie shall refuse to be or remain associated with information she determines is misleading, and may conclude that it is appropriate to resign from the company. (200.8.A2 of the Code).

Answer 6(a)

Under HKFRS 9 *Financial Instruments,* a financial guarantee is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

According to HKFRS 9 para. 4.2.1, an entity shall classify all financial liabilities as subsequently measured at amortised cost, subject to certain exceptions. For financial guarantee contracts, after initial recognition, an issuer of such a contract shall (unless paragraph 4.2.1(a) or (b) applies) subsequently measure it at the higher of:

(i) the amount of the loss allowance determined in accordance with HKFRS 9 Section 5.5; and

(ii) the amount initially recognised (see paragraph 5.1.1) less, when appropriate, the cumulative amount of income recognised in accordance with the principles of HKFRS 15.

The guarantee GL gave to the bank is a financial guarantee contract. It should be accounted for as a financial liability under HKFRS 9 and initially recognised at fair value in GL's financial statements.

According to HKFRS 9 para. B2.5(a), if the financial guarantee contract was issued to an unrelated party in a stand-alone arm's length transaction, its fair value at inception is likely to equal the premium received, unless there is evidence to the contrary.

GL assessed and considered that the financial guarantee contract was issued on a stand-alone arm's length basis. Therefore, on 1 April 2023 GL should recognise cash for the premium received from SL and the financial guarantee contract liability of HK$500,000, without any impact on profit or loss.

After initial recognition, GL shall measure it at the higher of:

(i) the amount of the loss allowance determined in accordance with the expected credit loss model in accordance with HKFRS 9; and

(ii) the amount initially recognised less, when appropriate, cumulative amortisation of income recognised in accordance with HKFRS 15.

According to HKFRS 9 B5.5.32, the entity is required to make payments only in the event of a default by the debtor in accordance with the terms of the instrument that is guaranteed for a financial guarantee contract. Accordingly, cash shortfalls are the expected payments to reimburse the holder for a credit loss that it incurs less any amounts that the entity expects to receive from the holder, the debtor, or any other party. If the asset is fully guaranteed, the estimation of cash shortfalls for a financial guarantee contract would be consistent with the estimations of cash shortfalls for the asset subject to the guarantee.

As GL had committed to pay if SL defaulted on the bank loan, the loss allowance was determined to be HK$4,000,000, which was higher than the HK$500,000 initially recognised. GL should recognise the subsequent adjustment to the financial guarantee contract liability of HK$3,500,000 in profit or loss on 31 March 2024 to provide for the calling of the guarantee.

Answer 6(b)

The comments to Gina are not correct.

Companies that are not incorporated in Hong Kong are still required to disclose business review as required under Section 5 of the Hong Kong Companies Ordinance if they are listed on the HKEX as the section has been incorporated into the Listing Rules.

In respect of disclosures under the Guide, companies listed on the HKEX must respond to each of the "comply or explain" provisions in the Guide – that is, companies should either report the issues or give considered explanations as to why not. A company does not need to disclose the information/data if the subject matter is not material to the company's operations.

GL is expected to conduct materiality assessment, identifying ESG issues that are determined by the board of directors to be sufficiently important to investors and other stakeholders, and only disclose matters that are material.

If GL's operations do not have such impact, it should disclose the fact rather than make irrelevant disclosures.

* * * END OF EXAMINATION PAPER * * *